

Nepal Tourism Industry Analysis

Business Insights Report



Summary

This report analyses Nepal's international tourism industry using official data from the Ministry of Culture, Tourism & Civil Aviation covering 1964–2023. Nepal received 1,014,882 tourists in 2023, a 65% recovery from the COVID-19 crash but still 15% below the 2019 all-time record of 1,197,191. India remains the dominant source market (31.5%), followed by the USA (9.88%) and China (5.99%).

Finding 1 - Nepal tourism grew 10x in 30 years before COVID

Write 3 sentences here. Insert Chart 1 (arrivals trend). Key number: arrivals grew from 93,000 in 1975 to 1.2 million in 2019.

Finding 2 - COVID-19 was the worst shock in Nepal tourism history

Write 3 sentences. Insert Chart 2 (COVID impact). Key numbers: 80.7% drop in 2020, worse than the 2015 earthquake (-32%) and 2001 civil conflict (-22%).

Finding 3 - Recovery is strong but uneven by country

Write 3 sentences. Insert Chart 3 (top countries). Key insight: Chinese tourists (pre-COVID #1 market) still haven't fully returned, only 60,839 in 2023 vs 153,986 in 2019. India and the USA have recovered strongly.

Finding 4 - Revenue recovery lags behind arrivals recovery

Write 3 sentences. Insert Chart 4 (revenue). Key number: Revenue is USD 548M in 2023 vs USD 771M in 2019, still 29% below peak despite arrivals being only 15% below.

Business Recommendations

1. *Target China specifically, Chinese arrivals are only 40% recovered vs pre-COVID levels. Direct marketing campaigns in Mandarin through WeChat and Weibo could unlock 90,000+ additional visitors annually.*
2. *Increase average tourist spend, Nepal's USD 41/day is low compared to regional competitors. Developing premium trekking packages, luxury lodges near Everest Base Camp, and cultural immersion experiences could raise this to USD 60+/day.*
3. *Reduce over-dependence on India, India accounts for 31.5% of all arrivals. Diversifying source markets to Southeast Asia (Thailand, Malaysia, Singapore) would make Nepal's tourism industry more resilient to future shocks.*

4. *Invest in Gautam Buddha International Airport (Bhairahawa), increasing international routes through the new airport reduces pressure on Tribhuvan and opens Nepal to new source markets in the Middle East and Europe.*

Conclusion

Nepal's tourism industry has demonstrated remarkable resilience, recovering from the 2015 earthquake, the 2020 COVID crash, and multiple political crises. With 2023 arrivals at 1,014,882 and growing, the industry is on track to surpass its 2019 record by 2025. However, revenue recovery lags behind arrivals growth, suggesting that quantity is recovering faster than quality, the strategic priority should be increasing spend per visitor, not just total numbers.